



Accelerated Broker Closing (ABC) - FAQs

<i>Is there a user guide/reference material I can use when performing the ABC process?</i>	Yes, the ABC Quick Start Guide, Doc #2209 and the ABC User Guide, Doc #2208 can be found on our Seller's Guide and will help you complete the process.
<i>What documents are required in order to successfully submit an "ABC" closing package?</i>	Please review the <i>Closing Services Checklist-Broker ABC</i> , Doc #3746 for a list of required documents. Missing documents will result in a Closing advisory being added to the loan which can delay the issuance of the ICD/CD.
<i>What items need to be included when entering title fees?</i>	Title fees need to have the correct payee listed based on what the settlement has provided. Additionally, the broker must select YES or NO when indicating whether the borrower shopped for a particular service.
<i>What supporting documentation is needed to show the figures entered on the CD?</i>	You will need to upload a copy of the title company's CD/ALTA statement to support the fees being entered on the CD (and to insure the figures balance).
<i>Can any credits just be entered as a lump sum?</i>	No, all credits (lender or seller) must be itemized when documents are generated. The seller concessions cannot exceed what the Underwriter has on the approval letter.
<i>Am I allow to increase the processing and/or credit report fees prior to issuing the ICD?</i>	No. You are only allowed to charge what was disclosed on the LE for these fees. If you increase these fees while requesting the closing package we will reduce them to match what was disclosed on the LE.
<i>What is the most common reason for needing closing document corrections after they have been sent out?</i>	The vesting information being inaccurate is the most common issue we see. You will need to double check the Title work to ensure accuracy of the vesting information. Also double check the spelling of the borrower's name and correct middle initial, if applicable.
<i>When do I need to enter a non-obligated borrower's information?</i>	All non-obligated borrowers must be entered into the system prior to the ICD being sent. This will ensure the non-obligated borrower receive the appropriate disclosures. If you do not add the non-obligated borrower information in prior to the ICD it can delay the issuance of the ICD/CD.
<i>How does the UW approval letter factor in to the CD creation?</i>	The document being generated must meet the requirements set by the UW on the approval letter. This includes the amount of EMD, cash to close/Cash back, seller/realtor credits, liability payoffs, etc.
<i>What is the required effective date for hazard (homeowner's) insurance?</i>	Must begin on or before the signing date and be effective for at least 1 year.



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What is the required coverage amount needed for hazard (homeowner's) insurance?

The coverage must be 100% replacement cost (guaranteed replacement cost, extended replacement cost, or replacement cost). If, this is not available refer to Doc # 4602 to calculate if loan amount coverage is sufficient.

What happens if my loan is a refi and the hazard policy is due for renewal soon?

The existing policy must be valid for 30 days or more beyond the closing date. If due within 30 days we need to collect the new premium.

How do I delete a fee line in the CD section of the fee summary page?

In order to delete the fee, you will need to delete BOTH the provider (small "x" at the bottom right of provider name field) AND the fee amount. Removing one but not the other will result in an error message.

What happens if the lender credits entered exceed the fees on the loan?

We will allow up to \$2,000 in principal reduction for excess premium or cash back.

Can we do a principal reduction for excess seller credit?

No, principal reductions are not allowed for excess seller credits. We can only allow them on lender credits.

How do I place my loan in line for Auditor review?

You must select the 'Request Document Review' button from the *Pickup Closing Docs* link when you are ready for the audit team to review. The broker can run WBCD or a CD multiple times to balance the CD and/or make corrections to the documents, the Auditors will not review until the button is selected to 'Request Document Review'.

Can I send the full package to the Settlement Agent?

No. For collaboration purposes the Broker will generate a preliminary doc package and send only the Closing Instructions, Closing Disclosure, Mortgage & Riders (if applicable) for balancing. The full closing package will be sent to the Settlement Agent once it has been reviewed & approved for signing by the Auditor.

My loan is Pending COC and I cannot request docs, how do I proceed?

Please email DisclosureManagement@Flagstar.com and request the COC be completed so that you can proceed. Please note that the ABC team does not have the ability to complete this request, it must be sent to our Disclosure Management group.
